

CHINA STRATEGY

Journey to the World

The Chinese exports story has evolved

The perception about Chinese exporters being the low-cost, low-value-added manufacturer for DM consumers is outdated. China is selling more to EM as the final destination, gaining global market share in the high-end manufacturing sectors, and now exporting services, intellectual property, and culture to the world.

Si Fu, Ph.D.

+852-2978-0200 | si.fu@gs.com
Goldman Sachs (Asia) L.L.C.

Kinger Lau, CFA

+852-2978-1224 | kinger.lau@gs.com
Goldman Sachs (Asia) L.L.C.

Timothy Moe, CFA

+65-6889-1199 | timothy.moe@gs.com
Goldman Sachs (Singapore) Pte

Kevin Wang, CFA

+852-2978-2446 | kevin.wang@gs.com
Goldman Sachs (Asia) L.L.C.

The case for Going Global

(1) The competitive CNY will remain a tailwind for exporters over coming quarters; (2) China is currently dominant in global supply chains given its leading position in critical materials, production capacity, and manufacturing know-how, and efforts by western parties to change this will take time; (3) overseas margins are on average 20% higher than the local market; (4) culture proximity—more than 50mn Chinese-ethnic population resides outside Chinese mainland; and, 5) fundamentally, Chinese products are cost- and quality-competitive globally.

Earnings boost (and tariff risks) from overseas expansion

Overseas revenue of Chinese listed companies has grown from 14% in 2018 to 16% at present (vs. DM/EM average of 53%/48%), led by Auto, Retailing, and Capital Goods, and their revenue share globally has also risen on a 0.4pp pace annually. Our analysis suggests that **these trends could extend, supported by Chinese companies' comparative cost advantages and product quality upgrade, likely adding 1.5pp to trend EPS growth**. Tariff risks from China's trading partners could reduce companies' overseas margin premiums, but are unlikely to derail their Going Global trajectory, as evidenced in the US-China trade war since 2018.

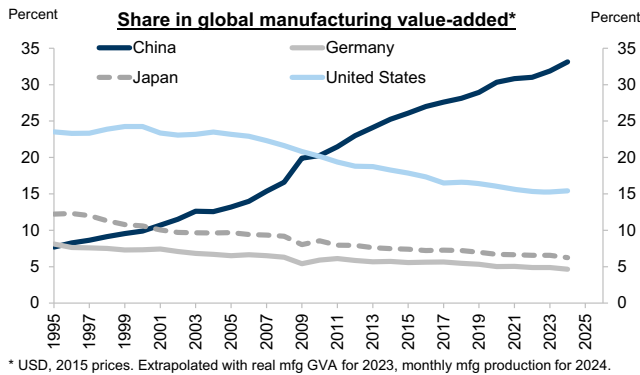
Going Global implications and beneficiaries

(1) The gaps between GDP and GNP may widen; (2) FX appreciation pressures are likely to build over time; (3) corporate profits could be incrementally less driven by domestic growth; (4) rising financing need for overseas investment and expansion via the capital market; and (5) the ascent of **Chinese Going Global Leaders**—we screen for 25 GS-Buy-rated companies that look well positioned to compete globally and monetize the overseas opportunities across 12 sectors. These companies have on average generated 34% of their revenues overseas, and have gained 39% ytd.

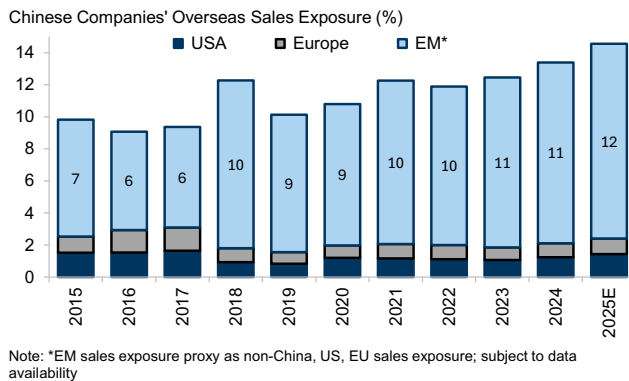
The Chinese exports story has evolved

Since its accession to the World Trade Organization (WTO) in 2001, **China has been labeled as the World's factory**. Indeed, China's share in global manufacturing value-added has surged from 11% in 2001 to 33% in 2024 (1.7pp annual increase), significantly contributing to the 11% GDP CAGR during the same period, and leading China's ascent to the 2nd largest economy (from the 6th in 2001). That said, we believe that **the "Made in China" narrative has evolved along three key dimensions** that will carry consequential implications to the stock market:

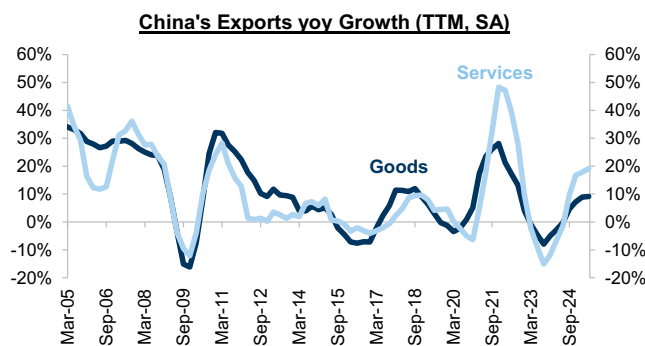
- 1. From DM to EM:** Partly driven by the elevated US-China trade tensions and policy uncertainty, Chinese exporters have diversified their presence in European countries and Emerging Market economies. Exports to non-US countries have been growing at an estimated 7.5% CAGR since 2018, while exports to the US have declined by 0.6% annually during the same period. China's trade with Belt and Road countries now account for 47% of the total trades, up from 32% in 2005.
- 2. Moving up the value-added curve:** The last decade has seen a notable shift in China's goods exports towards advanced technological products. China's share in global exports of traditional items like toys, textiles and furniture have decreased by 10% over the past 15 years. Exports of machinery and electronics were the key growth drivers during 2010 to 2020, while exports of Electrical Equipment and the "New Three" — electric vehicles, lithium-ion batteries, and solar cells — have experienced rapid growth in recent years.
- 3. From tradable goods to ODI and services/IP:** Beyond traditional goods exports, China has strategically increased its overseas direct investment (ODI) over recent years, particularly within Belt & Road Initiative countries. This strategy enables Chinese companies to diversify supply chains, build production capacity closer to end markets, and enhance business resilience. Concurrently, China is increasingly exporting services, including online e-commerce and entertainment services, travel and consumer services, biotech in contract research and development.

Exhibit 1: China is the world's largest manufacturer and continues to extend its lead

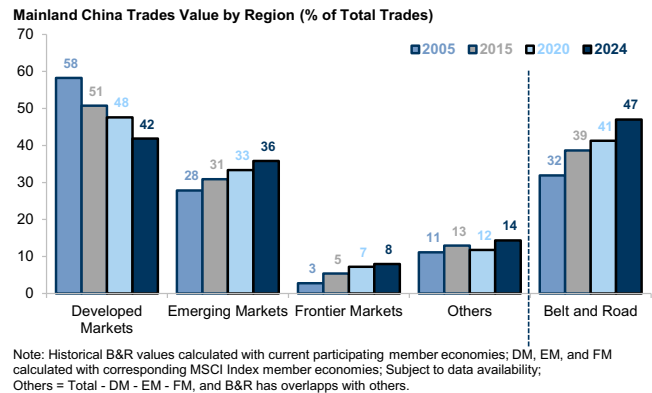
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 3: Non-DM revenue exposures are rising in the listed equity universe

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 5: China is increasingly exporting services, as opposed to just tradable goods, to the world

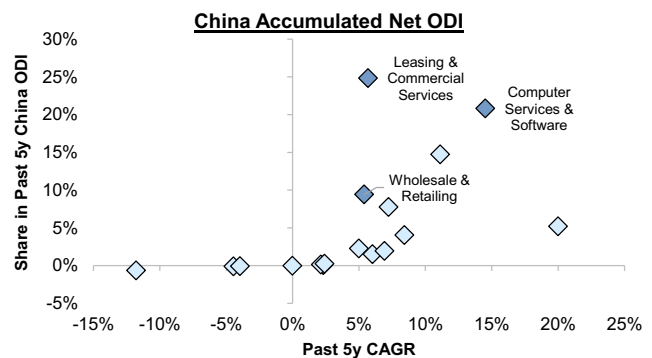
Source: Wind, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 2: The destinations of Chinese exports have evolved in the past two decades, shifting from DM to Belt & Road and EM markets

Source: Haver, MSCI, Goldman Sachs Global Investment Research

Exhibit 4: China has been moving up the value-added curve, shifting from exporting toys and textiles towards more advanced technological products

Source: Comtrade, Goldman Sachs Global Investment Research

Exhibit 6: Through overseas direct investment (ODI), Chinese companies are diversifying supply chains and approaching to end markets

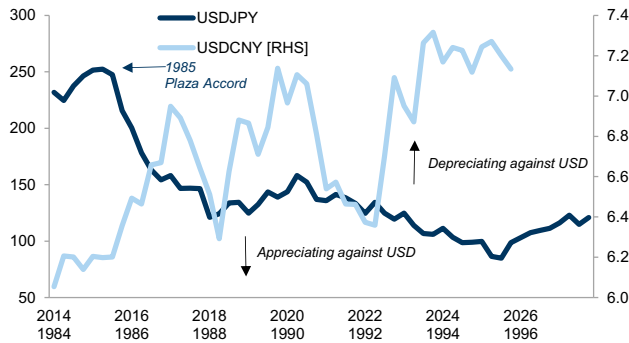
Source: Wind, Goldman Sachs Global Investment Research

The case for Going Global

The macro setup and thematic drivers for Chinese companies expanding overseas continue to look promising, underpinned by the following factors:

1. **A highly competitive Renminbi** on an effective trade-weighted basis should remain a tailwind for exporters over coming quarters. Chinese policymakers, having learned the lessons from Japan's lost decades, may prefer to keep the currency competitive to support exports. Our economists' study indicates the Renminbi is still undervalued within our GSDEER and GSFEER currency frameworks, offering Chinese exporters a competitive advantage for global expansion.
2. **China's leading position in global supply chains**, particularly in raw materials and advanced manufacturing capabilities, makes it an indispensable player in any global supply chain reorganization. China's cost advantages also enable Chinese companies to offer major manufactured products at a 15% to 60% discount compared to their global competitors. Furthermore, China dominates production capacity in emerging manufacturing sectors like solar, batteries, construction machinery, and electric vehicles (EVs), although some countries are constraining China's exports to protect the domestic production. Efforts by western parties to change this will however take time.
3. The imperative for Chinese companies to **diversify away from a highly competitive local market** is another significant driver. The nexus of overcapacity, intense competition, and disinflation has weighed on Chinese corporate earnings in recent years. Constrained by weak domestic demand, seeking new growth opportunities in less saturated international markets becomes a strategic priority for certain Chinese enterprises to maintain their overall growth and profitability profile.
4. **Cultural proximity** also plays a role; over 50 million ethnic Chinese residing outside Chinese mainland, mainly in Asia and America, could facilitate the global expansion by offering a readily available talent pool with local knowledge and cultural insights. At the same time, they could serve as the early adopters and a crucial initial market for Chinese companies venturing abroad.
5. Fundamentally and most importantly, Chinese products have evolved significantly, demonstrating both **cost-effectiveness and quality competitiveness** globally. China has become a competitive producer of technologically complex goods, including telecommunication equipment, solar panels, drones, etc, thanks to their commitment to R&D investments. Across a variety of sectors, Chinese products present a compelling value proposition. This competitiveness is evident in the rapid global adoption of Chinese brands and products. In 2024, 130 Chinese companies are listed in the Fortune Global 500 (v.s. 100 Chinese companies 10 years ago), with the automotive, high-tech, and internet companies showing strong growing momentum.

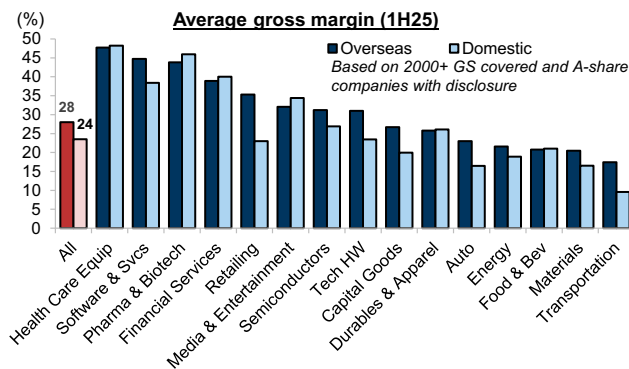
Exhibit 7: Japanese Yen doubled post the Plaza Accord but the Rmb has only appreciated 16% since the FX reform in 2005



X-axis: [1984-1996] for JPY and [2014-2026] for CNY. Our GSDEER framework attempts to capture long-term currency fair values in a regression-based approach, using differentials in consumer prices, terms of trade and productivity as inputs.

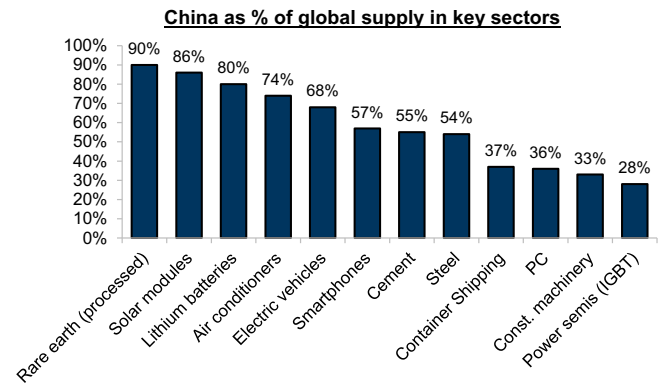
Source: Goldman Sachs Global Investment Research

Exhibit 9: Most sectors enjoy better profitability in the overseas markets



Source: Wind, FactSet, Goldman Sachs Global Investment Research

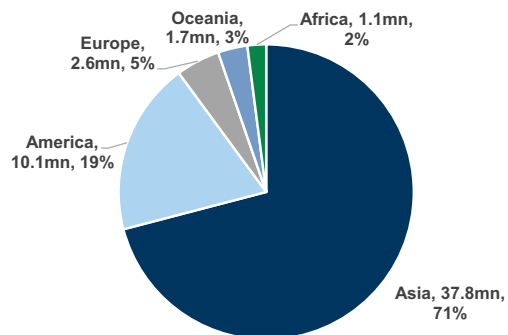
Exhibit 8: Chinese manufacturers hold dominant positions in the global supply chain in various consumer, industrial and commodity sectors



Source: Company data, Reuters, Goldman Sachs Global Investment Research

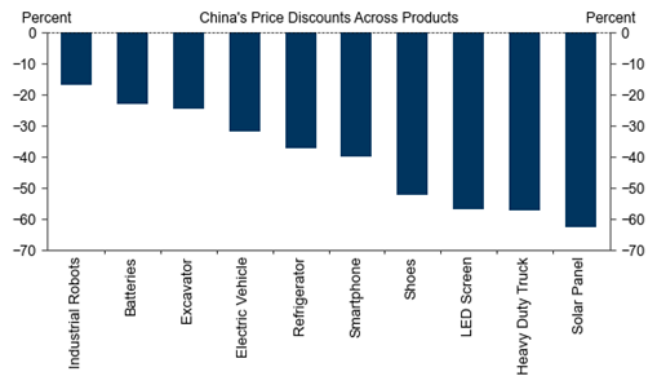
Exhibit 10: Over 50 million ethnic Chinese residing outside Chinese mainland could facilitate China's Going Global trend

No. of ethnic Chinese residing overseas (mn)



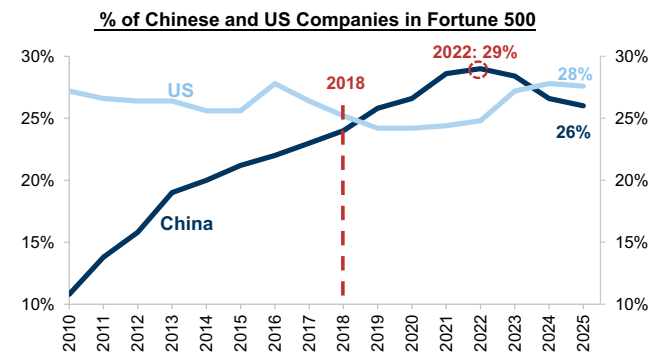
Source: World Federation of Chinese Entrepreneurs Organization

Exhibit 11: Chinese goods are very price competitive vis-a-vis the global alternatives



Source: Goldman Sachs Global Investment Research

Exhibit 12: In 2024, 130 Chinese companies enter 2025 Fortune Global 500 list, accounting for 26% of the 500 listed firms' total revenues



Source: Fortune, Data compiled by Goldman Sachs Global Investment Research

Earnings boost (and tariff risks) from overseas expansion

Overseas revenue representation of all Chinese listed companies and MSCI China constituents has increased from 14% and 11% in 2018 to 16% and 15% currently, primarily driven by the Auto, Retailing, and Capital Goods sectors. Furthermore, the revenue share of Chinese companies relative to their global competitors has increased at an annual rate of 0.4pp over the past 10 years. Looking ahead, we estimate the foreign revenue growth using three distinct approaches:

1. **Extrapolation of historical overseas revenue exposure growth:** Overseas revenue of all Chinese listed companies grew fairly steadily from 13.6% in 2021 to 16% now, representing a 0.8pp annual increase. Should this growth trajectory persist, we project the overseas revenue of Chinese companies (excluding Financials) could reach 19.2% (20.7%) by 2028. This level would still be below that observed in other DM (53%) and EM (48%) countries, implying further upside in the long term.
2. **Prediction based on sensitivity to export growth:** Empirical analysis indicates that the overseas revenue growth of Chinese listed companies has been highly correlated with, and has outpaced, the country's export growth. Based on this historical sensitivity and our economists' export growth forecasts (4% CAGR in nominal terms for the next three years), we forecast China non-Financial companies to grow their overseas revenue by around 13% on average annually in the next three years, potentially raising foreign revenue representation to 20.6% by 2028.
3. **Cross-sectional regression analysis of sector foreign revenue exposure and company fundamentals:** We analyze the foreign revenue exposure of all MSCI AC World stocks, categorized by GICS industry group since 2014, to identify factors influencing overseas expansion. The cross-sectional regressions indicate that R&D intensity, asset turnover, and gross margin are significant determinants. R&D intensity is a more important driver for Chinese companies' overseas expansion. If the companies have strong innovation capability, they are better positioned to accelerate revenue overseas growth and gain market share globally. Leveraging increasing R&D investment and a pricing advantage stemming from compressed margins, the model projects that MSCI China companies could continue growing overseas revenue by about 0.7pp to 2027.

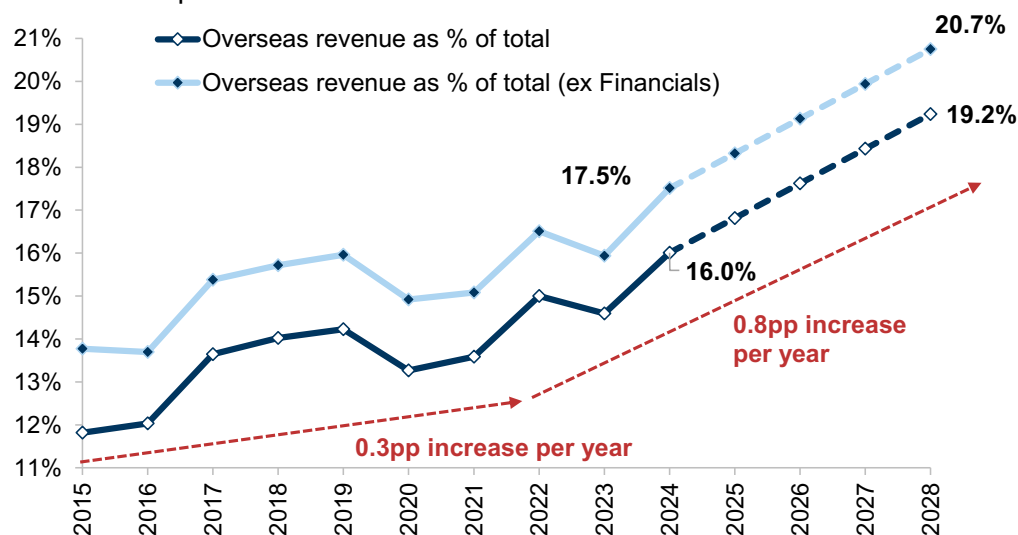
Averaging these estimates, we expect Chinese companies will continue to **increase their overseas revenue exposure by 0.6pp annually**. On average, Chinese exporters enjoy approximately 20% higher gross margins in overseas markets in 2024 due to competitive domestic pricing environment. We expect the margin differences to narrow gradually as the anti-involution policies could lead to domestic price recovery. Combining this projected overseas revenue growth with moderated margin premium, we estimate that global expansion could **boost earnings of MSCI China companies by about 1.5% annually** over the next three years.

Tariff risks could slow Chinese companies' overseas expansion and lower the profitability. However, comparing the overseas revenue and earnings sensitivities to tariff hikes during 2018/19 and year-to-date, we find that the Chinese companies have become more resilient with diversified supply chains and expanded end markets. In

addition, their US sales exposure has declined meaningfully, to around 4%. We estimate an additional 100% tariffs on Chinese exports to the US, at the worst case, could lead to about 10% earnings loss in the short term assuming all profits from the US are erased. However, it's unlikely to alter the structural trend of Chinese companies' global expansion. Assuming Chinese companies could continue growing their overseas revenue in non-US countries, we estimate 100% additional tariffs on exports to the US could slow the long-term earnings growth of MSCI China by 1.2% annually, and global expansion would still positively contribute to earnings of Chinese companies.

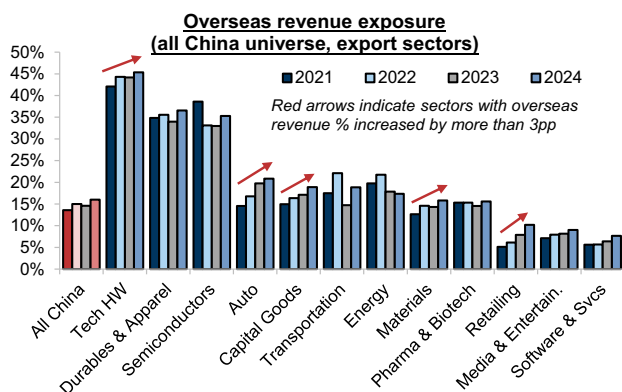
Exhibit 13: Overseas revenue of all Chinese listed companies has grown from 13.6% in 2021 to 16% at present

All China companies' overseas revenue



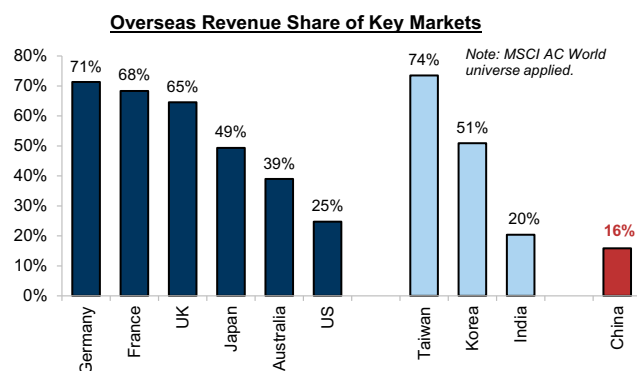
Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 14: Autos, Retailing and Capital Goods had the fastest overseas expansion over the past three years



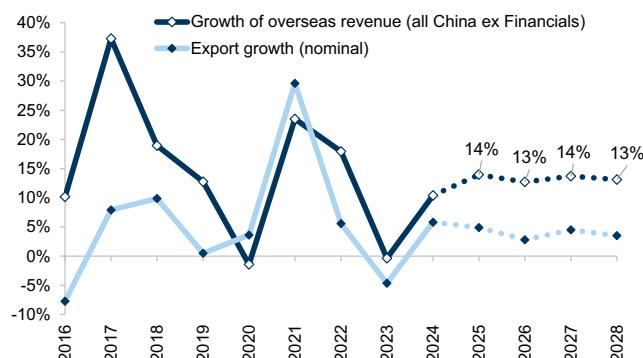
Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 15: China's overseas revenue exposure is still below major DM and EM countries



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 16: According to the historical sensitivity to export growth, we expect about 13% overseas revenue growth for all China listed companies (excluding Financials)



Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 17: Our cross-sectional regression analysis suggests that R&D intensity, asset turnover, and gross margin are significant determinants for overseas revenue growth

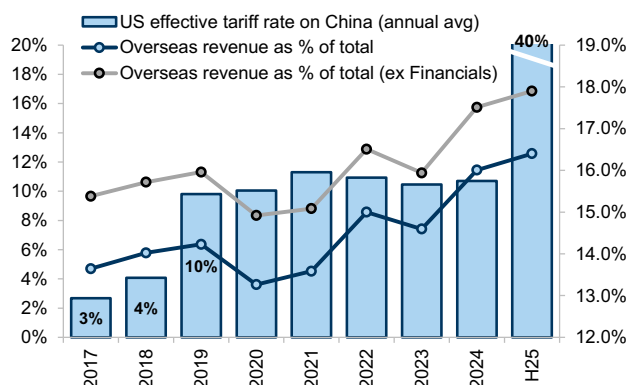
Coefficients	China	Global	2024	2027E
RD / Sales	1.62 ***	1.65 ***	2.7%	2.9%
Asset Turnover	-0.01	0.08 ***	57%	60%
GPM	0.01	-0.04	19%	21%

MXCN Overseas Revenue Share 15.9% 16.6%

Note: Coefficients estimated based on panel regression, controlling Industry Group entity effect. Reported data for 2024 input and I/B/E/S consensus estimates for 2027 input, 27E MXCN overseas revenue share estimated based on 'Global' regression coefficients. MSCI AC World universe applied; financials, property, and insignificant overseas exposure (<5%) industries are excluded.

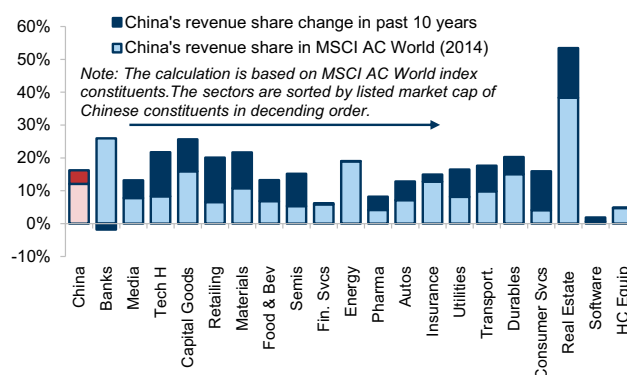
Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 18: Chinese companies continued growing their overseas revenue despite the US tariff hikes in 2018 and this year



Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 19: Chinese companies have been gaining market share globally based on financial data in the listed universe



Source: MSCI, FactSet, Wind, Goldman Sachs Global Investment Research

Exhibit 20: We estimate 100% additional tariffs could drag the net margin (premium vs local) of Chinese exporters to the US by about 4pp

	US effective tariff rate on China (annual average)	Net margin of Chinese companies			Gap b/w exporters & non-exporters	Gap b/w exporters to US & non-exporters
		Without overseas revenue	With overseas revenue	With US revenue		
2017	3%	9.0%	9.2%	14.1%		
2018	4%	8.1%	8.2%	12.9%		
2019	10%	7.7%	7.6%	12.5%		
Change	7%	-1.3%	-1.5%	-1.6%	-0.3%	-0.3%
2024	11%	5.5%	7.3%	13.4%		
1H25	41%	6.3%	7.5%	13.2%		
Change	31%	0.8%	0.2%	-0.1%	-0.6%	-1.0%
100% tariff hike case^	100%				-3.1%	-3.8%

^Assuming the margin impacts of tariff hikes are linear, with similar sensitivity as during 2018/19 and 1H25.

Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 21: In our base case, we expect global expansion could boost Chinese companies' earnings growth by around 1.5pp per year, and the impacts could lower to 0.3pp if the US raises tariffs by 100%

MSCI China earnings impact from overseas expansion

(annually)

100% tariff
hike case

		Overseas revenue exposure (annual change, pp)					
		-0.6	-0.3	0.0	0.3	0.6	0.9
Overseas vs domestic margin premium	-40%	0.1%	0.3%	0.5%	0.7%	0.9%	1.1%
	-20%	0.2%	0.4%	0.7%	1.0%	1.2%	1.5%
	0%	0.2%	0.6%	0.9%	1.2%	1.5%	1.9%
	20%	0.3%	0.7%	1.1%	1.5%	1.9%	2.3%
	40%	0.3%	0.8%	1.2%	1.7%	2.2%	2.6%

50% tariff hike case

Base case

Note: Assuming domestic revenue of MSCI China increased by 7% annually in the next three years.

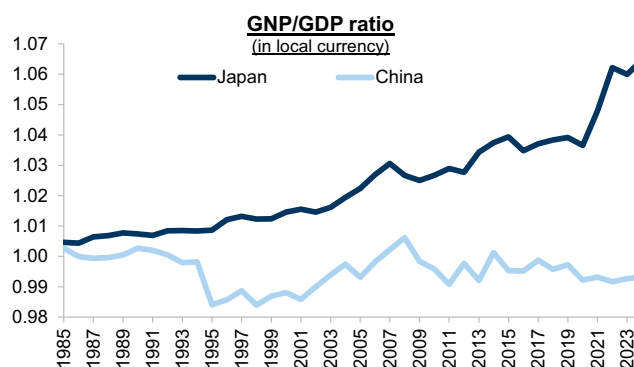
Source: Goldman Sachs Global Investment Research

Going global implications and beneficiaries

(1) The gaps between GDP and GNP may widen

Rising portions of economics, revenues, and accrued profits derived from overseas markets by Chinese companies and their offshore subsidiaries will likely benefit GNP/GNI more than GDP over time, akin to the experiences from Japan since the 1980s, from which the ratios of GNP over GDP have embarked on a sustained uptrend until now.

Exhibit 22: Japanese experiences suggest that companies' overseas expansion could benefit GNP more than GDP over time

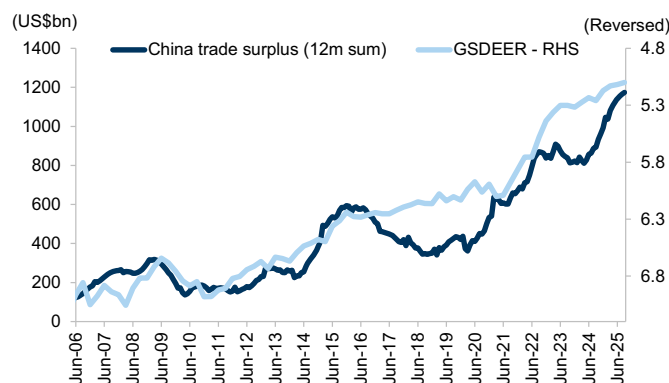


Source: Haver Analytics, Goldman Sachs Global Investment Research

(2) FX appreciation pressures are likely to build over time;

The strong performance of the export sector has significantly bolstered China's external account, and led to massive buildup in trade surplus, which could amount to US\$1tn this year. This has also in turn put more appreciation pressure on the Rmb, of which the starting valuation appears very competitive on a real trade-weighted basis. This provides an anchor to our [FX Strategist's call for a gradual strengthening of the Rmb](#) vs the USD over time, and eventually reaching the equilibrium real exchange rate at 5-handle over the next decade.

Exhibit 23: The buildup in trade surplus could lead to RMB strengthening

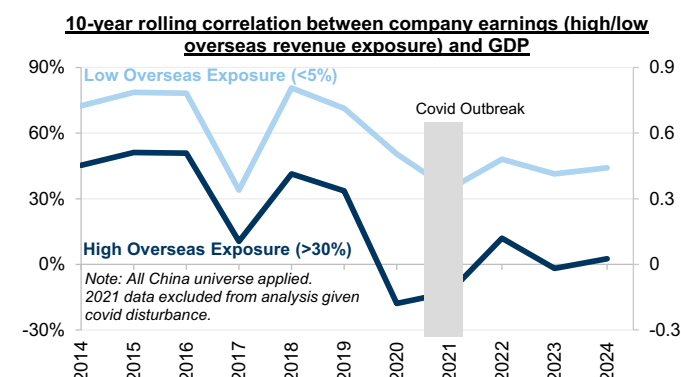


Source: Goldman Sachs Global Investment Research

(3) Corporate profits could be marginally less fixated on domestic growth

Overseas businesses and the resulting revenue streams and cost bases are by nature less correlated with the domestic economy but more in sync with the global dynamics, thereby incrementally reducing the aggregate market sensitivity to domestic growth when foreign revenues become sizable. In an optimistic scenario where the overseas margin premium stays robust, that could lead to re-rating potential for export-oriented firms vs pure domestic plays.

Exhibit 24: Export-oriented companies tend to be less sensitive to domestic macroeconomic growth

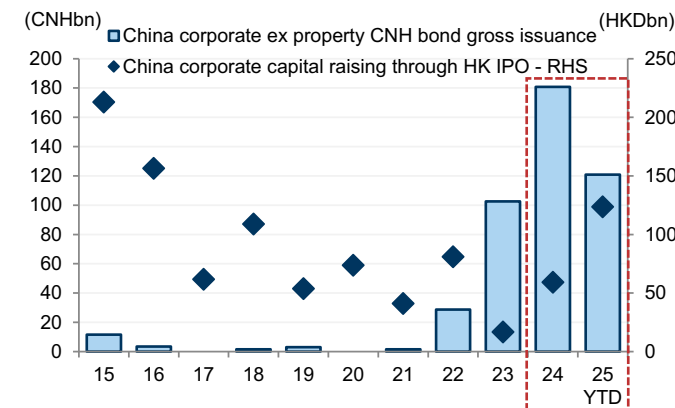


Source: Wind, FactSet, Goldman Sachs Global Investment Research

(4) Rising financing need for overseas investment and expansion via the capital market

As the non-domestic businesses scale and mature, financing needs in foreign currency (operational currency) should rise in tandem. In fact, Dim Sum bond issuance size and capital raised through Hong Kong IPOs have risen in recent years, of which the proceeds could be mostly used for funding overseas growth and FX hedge purposes. As such, equity financing (IPOs and additional follow-ons), spin-offs of offshore subsidiaries by their Chinese parent companies/controlling shareholders, and M&A could rise as the Going Global trend develops.

Exhibit 25: Offshore bond issuance and HK IPO activities have risen in recent years, partly reflecting growing offshore financing demand



Source: Bloomberg, Goldman Sachs Global Investment Research

(5) The ascent of Chinese Going Global Leaders

We screen for **25 GS-Buy-rated companies that look well positioned to compete globally** and monetize the overseas opportunities across 12 industry groups. These companies have on average generated 34% of their revenues overseas, and have gained 56%/39% since 2024/yt. Half of the **Chinese Prominent 10 companies** also feature in this portfolio, as the industry leaders with strong balance sheets and cashflows, possess economies of scales, and leading technology are better equipped to tap into the international market.

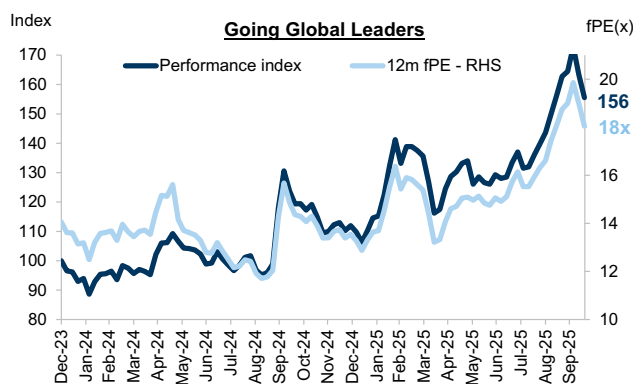
Exhibit 26: We screen for 25 GS-Buy-rated companies that look well positioned to compete globally

>30% OR >3%														>US\$5bn			B
Ticker	Name	GICS Industry Group	Overseas revenue % (2021)	Overseas revenue % (2024)	Overseas revenue % change (2021-24)	If R&D intensity>5% or >sector median in past 3y	If overseas margin>domestic margin	Quoted Price	Quoted Ccy	Total listed Mkt Cap (US\$bn)	ADVT (US\$mn)	24-26E EPS CAGR (%)	26E P/E (X)	26E DY (%)	GS Rating		
Going Global Leaders																	
9988 HK	Alibaba	Retailing	7%	13%	6%	✓		161	HKD	379	1740	23	14.4	0.9	B		
300750 CS	CATL	Capital Goods	21%	30%	10%	✓	✓	369	CNY	232	1112	20	17.5	2.9	B		
PDD UW	PDD	Retailing	0%	31%	31%	✓		127	USD	182	939	22	8.9	0.0	B		
1810 HK	Xiaomi	Tech Hardware	50%	46%	-4%	✓		48	HKD	127	1035	29	16.5	0.0	B		
002594 CS	BYD	Automobiles	1%	15%	13%	✓	✓	107	CNY	100	762	27	14.3	2.1	B		
000333 CS	Midea	Durables	40%	41%	1%	✓		73	CNY	77	332	9	10.7	6.5	B		
300308 CS	Zhongji Innolight	Tech Hardware	75%	87%	12%	✓		367	CNY	58	1412	37	21.6	0.6	B		
TCOM UW	Trip.com	Consumer Services	6%	18%	12%	✓		70	USD	47	177	17	14.0	0.0	B		
300760 CS	Mindray Bio-Medical Elec.	Health Care Equip & Svcs	40%	45%	5%	✓		231	CNY	38	216	14	18.9	3.2	B		
688235 CG	BeOne Medicines	Pharma & Biotech	56%	63%	7%	✓		286	CNY	38	134	116	55.8	0.0	B		
1024 HK	Kuaishou	Media & Entertainment	0%	4%	4%	✓		76	HKD	34	378	19	10.6	0.0	B		
002352 CS	S.F. Holding	Transportation	9%	15%	6%	✓		41	CNY	28	157	14	13.3	3.2	B		
600406 CG	NARI Technology	Capital Goods	2%	7%	5%	✓	✓	24	CNY	26	141	12	18.2	3.2	B		
002050 CS	Sanhua	Capital Goods	50%	49%	-1%	✓	✓	43	CNY	25	532	18	32.4	0.9	B		
688008 CG	Montage Technology	Semiconductors	62%	71%	8%	✓		145	CNY	22	453	27	42.7	0.7	B		
600019 CG	Baoshan Iron & Steel	Materials	11%	14%	4%	✓	✓	7	CNY	22	80	15	11.4	5.5	B		
601012 CG	Longi	Semiconductors	44%	47%	3%	✓	✓	20	CNY	21	251	-	30.2	0.4	B		
000338 CS	Weichai Power	Capital Goods	40%	56%	16%	✓	✓	15	CNY	17	118	12	8.2	7.0	B		
600585 CG	Anhui Conch Cement	Materials	2%	5%	3%	✓	✓	24	CNY	17	110	11	10.7	4.7	B		
002600 CS	Lingyi iTech	Tech Hardware	61%	72%	10%	✓		15	CNY	14	406	35	22.7	0.3	B		
688271 CG	United Imaging Healthcare	Health Care Equip & Svcs	9%	22%	13%	✓		148	CNY	12	92	23	42.4	0.3	B		
002074 CS	Gotion High-tech	Capital Goods	5%	31%	26%	✓		42	CNY	10	446	41	25.5	0.7	B		
300832 CS	New Industries Biomedical	Health Care Equip & Svcs	30%	37%	7%	✓	✓	62	CNY	7	36	18	19.1	2.8	B		
603087 CG	Gan & Lee Pharma	Pharma & Biotech	7%	17%	10%	✓		71	CNY	6	132	28	22.8	0.7	B		
002812 CS	Yunnan Energy New Material	Materials	11%	22%	10%	✓	✓	43	CNY	6	110	140	30.7	0.2	B		
Average			26%	34%	9%					62	452	30	21.3	1.9			

Note: Prices as of Oct 16, 2025; Total listed market cap include all listings (A+H+ADR); EPS CAGR, valuation items, dividend yields and ratings are based on GS sector analysts' view; B=Buy.

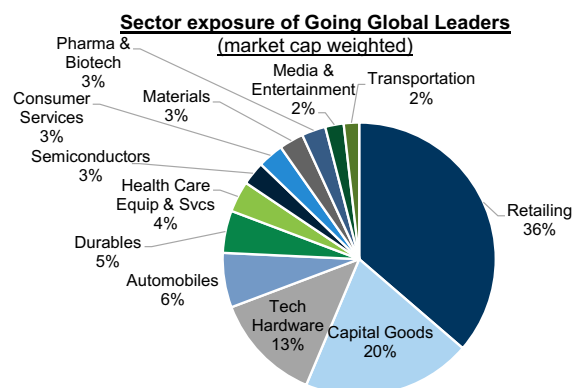
Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 27: The Going Global Leaders gained about 56%/39% since 2024/yt and are traded at 18x 12m forward PE



Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 28: Going Global Leaders portfolio has exposure to 12 industry groups with Retailing, Capital Goods and Tech Hardware as the top sectors



Source: Wind, FactSet, Goldman Sachs Global Investment Research

Appendix

Exhibit 29: If the tariff hike could ease the overseas margin premium or profits from the whole US market, we estimate that could lead to 6% or 10% earnings drag to MSCI China companies

	MSCI China revenue weight	Estimated US revenue exposure [^]	Aggregate foreign revenue exposure	Domestic gross margin (1H25)	Overseas gross margin (1H25)	Estimated earnings impacts (assuming US profits down to 0 & overseas profits from other countries unchanged)	Estimated earnings impacts (assuming overseas margins decline to domestic levels & sales volume unchanged)
Technology Hardware & Equipment	3%	27%	29%	23%	31%	-0.5%	-0.1%
Pharmaceuticals Biotechnology & Life Sciences	1%	22%	28%	46%	44%	-0.1%	0.0%
Consumer Durables & Apparel	2%	21%	40%	26%	26%	-0.4%	0.0%
Materials	6%	19%	17%	16%	20%	-0.7%	-0.1%
Transportation	2%	15%	48%	10%	17%	-0.5%	-0.7%
Automobiles & Components	5%	9%	17%	16%	23%	-0.2%	-0.1%
Semiconductors & Semiconductor Equipment	0%	8%	23%	27%	31%	0.0%	0.0%
Consumer Discretionary Distribution & Retail	8%	6%	7%	23%	35%	-0.5%	-0.2%
Capital Goods	9%	2%	14%	20%	27%	-0.1%	-0.2%
Software & Services	0%	1%	3%	38%	45%	0.0%	0.0%
Food Beverage & Tobacco	1%	1%	4%	21%	21%	0.0%	0.0%
Health Care Equipment & Services	2%	0%	1%	48%	48%	0.0%	0.0%
Energy	21%	0%	1%	19%	22%	0.0%	0.0%
Insurance	10%	0%	0%	13%	13%	0.0%	0.0%
Banks	20%	0%	9%	38%	38%	0.0%	0.0%
Real Estate Management & Development	3%	0%	0%	21%	7%	0.0%	0.0%
Media & Entertainment	3%	0%	7%	34%	32%	0.0%	0.0%
Utilities	3%	0%	6%	26%	25%	0.0%	0.0%
Consumer Services	2%	0%	8%	24%	27%	0.0%	0.0%
Financial Services	1%	0%	9%	40%	39%	0.0%	0.0%
Telecommunication Services	0%	0%	0%	26%	31%	0.0%	0.0%
Consumer Staples Distribution & Retail	0%	0%	0%	55%	60%	0.0%	0.0%
Household & Personal Products	0%	0%	8%	37%	40%	0.0%	0.0%
Commercial & Professional Services	0%	0%	3%	28%	33%	0.0%	0.0%
Direct earnings impacts to exporters to the US		4%	9%			-3.1%	-1.5%
Indirect earnings impacts of GDP slowdown to exporters to non-US countries^{^^}						-6.6%	-4.4%
Total earnings impacts						-10%	-6%

Note: [^] 92 of MSCI China companies have foreign revenue breakdown by country/region. We use US as % of total calculated based on the 92 companies to proxy for the whole MSCI China universe to estimate the US revenue exposure. ^{^^} We assume that the US profits down to 0 will drag GDP by 1.5pp, and overseas margin decline will drag GDP by 1pp to estimate the potential indirect earnings impacts.

Source: Wind, FactSet, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Si Fu, Ph.D., Kinger Lau, CFA, Timothy Moe, CFA and Kevin Wang, CFA, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Disclosures

Other disclosures

MSCI

All MSCI data used in this report is the exclusive property of MSCI, Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced or disseminated in any form and may not be used to create any financial instruments or products or any indices. This information is provided on an "as is" basis, and the user of this information assumes the entire risk of any use made of this information. Neither MSCI, any of its affiliates nor any third party involved in, or related to, computing or compiling the data makes any express or implied warranties or representations with respect to this information (or the results to be obtained by the use thereof), and MSCI, its affiliates and any such third party hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the data have any liability for any direct, indirect, special, punitive, consequential or any other damages (including lost profits) even if notified of the possibility of such damages. MSCI and the MSCI indexes are service marks of MSCI and its affiliates. The Global Industry Classification Standard (GICS) were developed by and is the exclusive property of MSCI and Standard & Poor's. GICS is a service mark of MSCI and S&P and has been licensed for use by The Goldman Sachs Group, Inc.

Baskets

The ability to trade the basket(s) in this report will depend upon market conditions, including liquidity and borrow constraints at the time of trade.

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at <https://www.gs.com/worldwide/brazil/area/gir/index.html>. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 951-A, Rational House, Appasaheb Marathe Marg, Prabhadevi, Mumbai 400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) of the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details can be found at this link: <https://publishing.gs.com/disclosures/hedge.html#/general/equity>. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of

New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for “wholesale clients” (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at <https://www.gs.com/disclosures/europeanpolicy.html> which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, The Investment Trusts Association, Japan, and Japan Investment Advisers Association. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International (“GSI”), authorised by the Prudential Regulation Authority (“PRA”) and regulated by the Financial Conduct Authority (“FCA”) and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE (“GSBE”) is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (<https://www.sipc.org>).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research, unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is focused on investment themes across markets, industries and sectors. It does not attempt to distinguish between the prospects or performance of, or provide analysis of, individual companies within any industry or sector we describe.

Any trading recommendation in this research relating to an equity or credit security or securities within an industry or sector is reflective of the investment theme being discussed and is not a recommendation of any such security in isolation.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual

clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at <https://www.theocc.com/about/publications/character-risks.jsp> and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to <https://research.gs.com>.

Disclosure information is also available at <https://www.gs.com/research/hedge.html> or from Research Compliance, 200 West Street, New York, NY 10282.

© 2025 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.